Hong Kong Real Estate

High base effect about to kick in for retail business

EMDEquities
REMD

Hong Kong

- Sustained improvement in retail sales should support rental stabilisation for many retail landlords
- Looking ahead, we expect retail sales growth to moderate in 2H given higher base and growing e-commerce penetration
- Among landlords, we like Hysan (14 HK), Swire Properties (1972 HK), and Link REIT (823 HK); all rated Buy

Expecting retail sales to moderate in 2H. Retail sales in April went up by 8.6% y/y, extending the expansionary territory to a twelfth consecutive month. The recovery is becoming more balanced, broadening from luxury-led spending to some mass-market consumption. Retail landlords' earnings visibility should continue to improve alongside the narrowing negative rental reversion for many malls, resulting in a rental stabilisation for many landlords. However, we believe the recovery will only be modest and uneven. (*Green light for high-end malls*, 10 December 2025). A higher base effect and growing penetration from mainland Chinese e-commerce operators should result in a more gradual retail sales improvement in the coming months, compared to a growth of 11.3% in 4M26. Retailers need to continuously adapt to the changing value-led spending behaviours and introduce more service and product ranges to attract customers.

Read-across from the landlords. Tenant sales for both major high-end malls and community malls continue to improve. Notably, ***Wharf REIC***'s Chairman expressed optimism about the Hong Kong retail outlook, his first such positive signal in recent years since COVID-19, citing early indications of a turning point. For ***Link REIT***, tenant sales displayed some improvement in its community malls. ***Swire Properties***' major mall Pacific Place in Hong Kong delivered an outperformance in tenant sales versus the overall market. ***Henderson Land*** reported that tenant sales of its mall portfolio exceeded 10% growth in the May holiday.

Investment ideas. We remain constructive on Hong Kong retail landlords. We see growing DPU resiliency in Link REIT (823 HK, HKD39.22, Buy) while the restart of its buyback campaign should support its valuation. Improving tenant sales performance at Hysan's (14 HK, HKD18.20, Buy) high-end malls, coupled with faster than expected capital recycling initiatives could support its earnings outlook. Swire Properties (1972 HK, HKD22.68, Buy) transformation into an integrated commercial landlord and earnings recovery should support its re-rating process, in our view.

Stocks mentioned in the report

Company	Ticker	Mkt cap (USDbn)	ADTV (USDm)	HSBC rating	CCY	Latest price	Target price	Upside/ (downside)	FY26e PE (x)	FY26e div yield	NAV discount
Hysan Dev	14 HK	2.4	6.0	Buy	HKD	18.20	23.00	26.4%	7.3	5.9%	-66%
Swire Properties	1972 HK	16.7	10.7	Buy	HKD	22.68	30.20	33.2%	15.4	5.3%	-55%
Link REIT	823 HK	12.9	55.6	Buy	HKD	39.22	46.50	18.6%	15.5	6.5%	-33%

Source: Bloomberg, HSBC estimates. Priced as of close 2 June 2026

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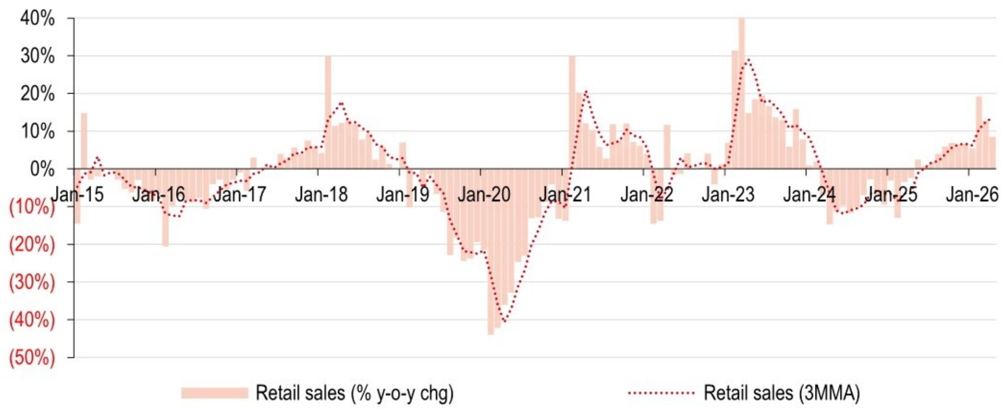
Retail sales growth continued in April 2026

Hong Kong's retail sales growth stayed positive for the twelfth consecutive month. In April 2026, retail sales grew 8.6% y/y, compared to 12.8% in March; retail sales for 4M26 increased by 11.3%. We believe the retail market is still facing various challenges, such as the change in tourist spending patterns and more frequent outbound travel by locals. These trends should continue, resulting in some leakage in tenant sales, which in turn should lead to a more gradual improvement compared to previous cycles.

Among major sub-segments, the largest increase in retail spending came from Consumer Durable Goods, which rose 26.2% y/y, followed by Jewellery, Watches, Clocks & Valuable Gifts, and Cosmetics at 19.8%.

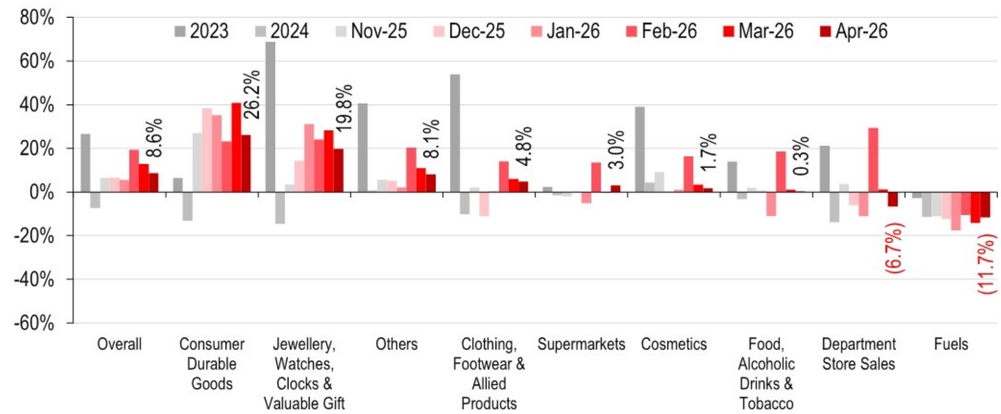
Across all categories, retail sales declined in two sub-segments in Department Store Sales (down 6.7% y/y) and Fuels (down 11.7% y/y), while other sub-sectors reported growth of 0.3-8.1%, excluding the categories stated above.

Fig 1. Retail sales growth in Hong Kong (% y/y change)



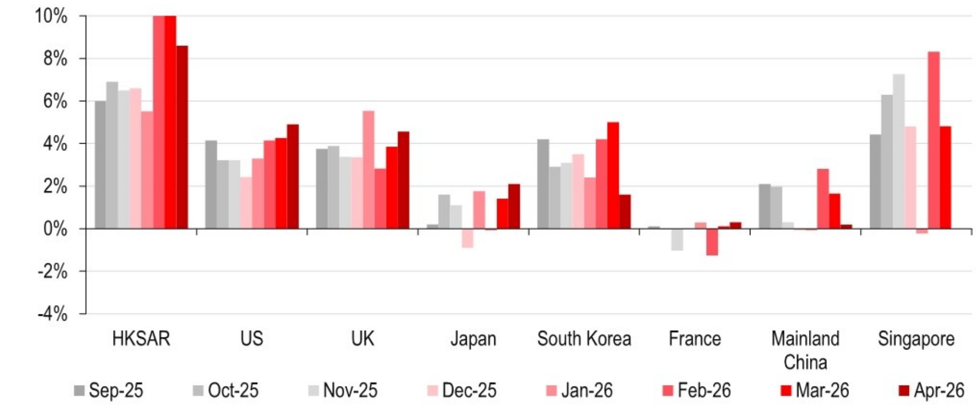
Source: The Census and Statistical Department of the Hong Kong SAR Government, HSBC: retail sales % y-o-y change and retail sales (3MMA) updated as at April 2026.

Fig 2. Hong Kong retail sales growth by category: Consumer Durable Goods followed by Jewellery, Watches, Clocks & Valuable Gift saw the biggest jump in April 2026



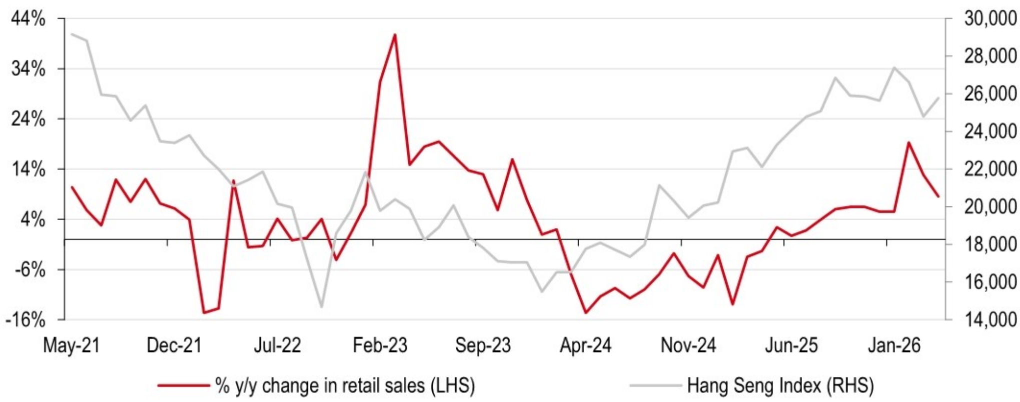
Source: The Census and Statistical Department of the Hong Kong SAR Government, HSBC

Fig 3. Hong Kong retail sales posted strong growth in April 2026 at 8.6% on a regional basis (y/y)



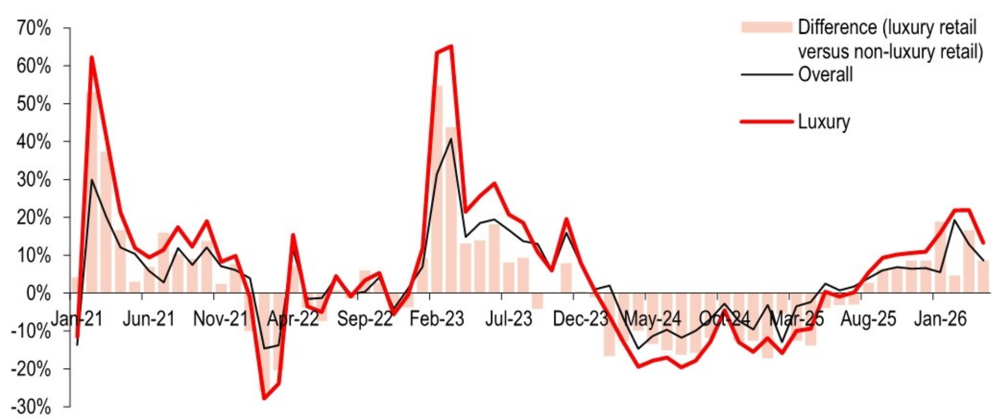
Source: CEIC, LSEG Datastream, Bloomberg, HSBC Singapore retail sales figure are up to March 2026

Fig 4. The positive wealth effect continue to bode well for the retail market, in our view



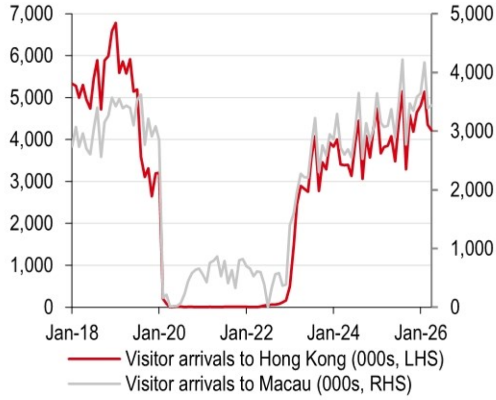
Source: CEIC, LSEG Datastream, Bloomberg, HSBC

Fig 5. We expect luxury retail sales to outperform non-luxury retail sales in the next 12 months….



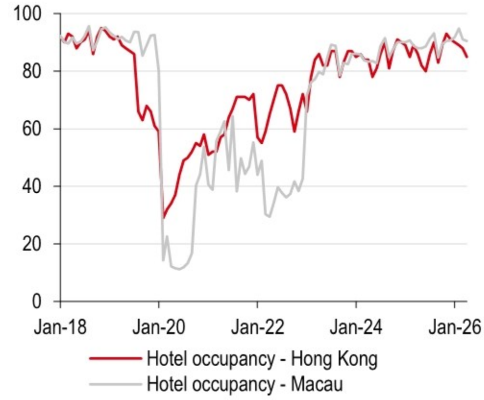
Source: The Census and Statistical Department of the Hong Kong SAR Government, HSBC

Fig 6. Hong Kong & Macau – monthly visitor arrivals



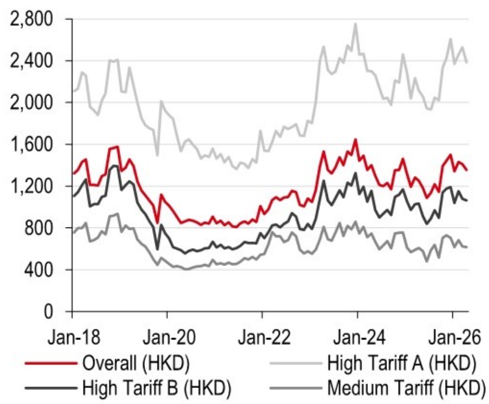
Note: 2026 data represents up to April 2026
Source: CEIC, HSBC

Fig 7. Hong Kong & Macau – hotel occupancy rate (%)



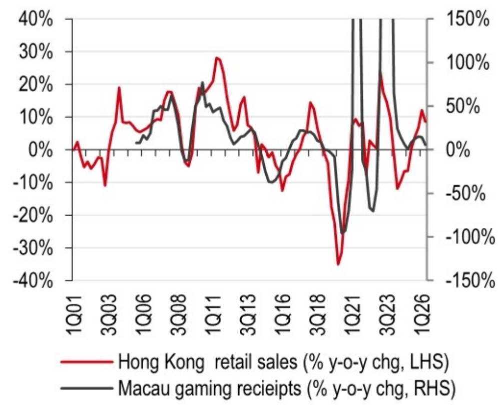
Note: 2026 data represents up to April 2026.
Source: CEIC, HSBC

Fig 8. Hong Kong – average daily room rate



Note: 2026 data represents up to April 2026.
Source: CEIC, HSBC

Fig 9. Hong Kong & Macau – retail sales and gaming receipts

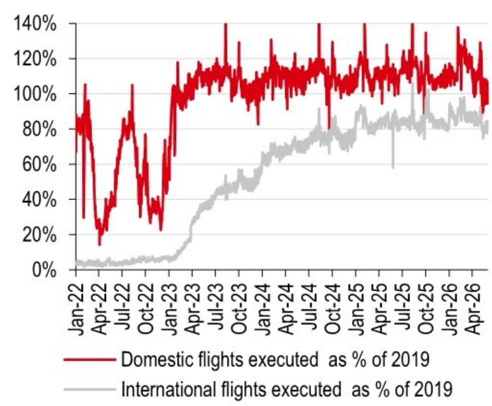


Note: Macau's gaming receipts increased 421% y-o-y in 4Q23, 780% y-o-y in 3Q23 and 436% y-o-y in 2Q23. 2026 data represents up to April 2026
Source: CEIC, HSBC

Fig 10. Hong Kong's retail sales and Macau's gaming receipts in value

Note: 2026 data represents up to April 2026.
Source: CEIC, HSBC

Fig 11. Mainland China: Number of daily passenger flights executed – domestic and international routes



Note: 2026 data represents up to 31 May 2026.
Source: Wind, HSBC

Valuation and risks

		Valuation	Risks
Hysan Development 14 HK **Buy**	Current price: **HKD18.20** Target price: **HKD23.00** Up/downside: **+26.4%**	We maintain our Buy rating with a target price of HKD23.00. Our target price is based on a discount of 57%, (0.75 SD below mean) applied to our NAV estimate per share of HKD53.60 (all unchanged). Our target discount is based on our valuation framework, which factors in business diversification, strengthening rental income, and policy risks. For our NAV estimate, we calculate the value of each existing or prospective property development project using a DCF model to derive the GAV of each project. We continue to use the cost of equity metrics as defined by HSBC Global Investment Research's equity strategists. For our DCF model, we assume a WACC for Hong Kong and mainland China of 5.9% and 6.1%, respectively, based on risk-free rates of 4.25% for both markets; a market risk premium of 4.25% and 4.75%, respectively; and a beta of 0.71 for both markets (all unchanged). Our target price implies 26.4% upside from the current share price; we maintain our Buy rating as Hysan's shopping mall portfolio in Causeway Bay, with a focus on discretionary spending, should benefit from a positive wealth effect, in our view. Together with the expansion of several high-end retail flagship stores, this should help improve its earnings and dividend visibility. **Raymond Liu*, CFA** | raymond.w.m.liu@hsbc.com.hk | +852 2996 6743	**Downside risks:** Lower-than-expected retail rentals achieved; dividend cut, slower-than-expected visitor arrivals; and a spike in HIBOR that leads to higher-than expected interest expenses.
Swire Properties 1972 HK **Buy**	Current price: **HKD22.68** Target price: **HKD30.20** Up/downside: **+33.2%**	We have a Buy rating with a target price of HKD30.20. Our TP is based on a target discount of 40% (0.50 SD below the historical mean) applied to our NAV estimate of HKD50.40/share (all unchanged). Our target discount is based on our valuation framework, which factors in business diversification, strengthening rental income, and policy risks, and reflects the level at which similar landlords in Hong Kong trade. We calculate the NAV estimate by summing our valuations of its assets using a DCF model for property developments and a capitalisation approach for investment properties. We continue to use the cost of equity metrics as defined by HSBC Global Investment Research's equity strategists. For our DCF model, we assume a Hong Kong and mainland China WACC of 5.6% and 6.0%, respectively, based on a risk-free rate of 4.25% for both markets, a market risk premium of 4.25% and 4.75%, respectively, and a beta of 0.60 for both markets (all unchanged). Our capitalisation rates for properties in the portfolio are 4.50-6.50% (unchanged). Our target price implies 33.2% upside; we therefore maintain our Buy rating. We believe Swire's resumption of rental income growth and active asset recycling can unlock value, and its high DPS growth visibility makes the stock attractive. **Raymond Liu*, CFA** | raymond.w.m.liu@hsbc.com.hk | +852 2996 6743	**Downside risks:** Slower-than-expected office and retail rentals achieved; slower-than-expected completions and ramp-ups of new projects in Shanghai and Hainan; and unsuccessful value-accretive project acquisitions.
Link REIT 823 HK **Buy**	Current price: **HKD39.22** Target price: **HKD46.50** Up/downside: **+18.6%**	We maintain our Buy rating on Link REIT and keep out TP unchanged at HKD46.50. We set our fair value estimate at a par valuation to our DDM-based NAV estimate per share of HKD46.50, assuming a cost of equity of 7.3% with an adjusted beta of 0.72 (Bloomberg), a risk-free rate of 4.25%, a market risk premium of 4.25% and a terminal growth rate of 1.5% (all unchanged) Our HKD46.50 target price implies upside of 18.6%. We retain our Buy rating as we believe the worst is over for Link REIT, supported by its capital recycling strategy and improving retail sales momentum. The successful divestment of Swing By @ Thomson Plaza at a premium to book value demonstrates the company's ability to execute its capital recycling strategy to drive unitholder value. Furthermore, Hong Kong's retail sector has shown consistent modest growth, which provided a supportive environment for Link's non-discretionary focus. **Raymond Liu*, CFA** | raymond.w.m.liu@hsbc.com.hk | +852 2996 6743	**Downside risks:** Slower-than-expected retail recovery in Hong Kong, expensive project acquisitions, worse-than-expected DPU cut and a more hawkish Fed than we expect.

Note: Priced as of 2 June 2026.
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Source: Bloomberg, HSBC estimates

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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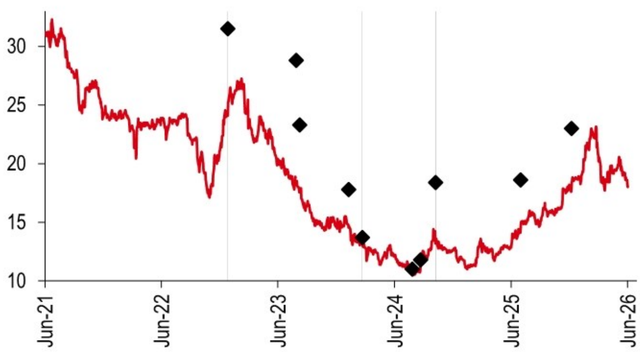
Share price and rating changes for long-term investment opportunities

Hysan Development (0014.HK) share price performance HKD Vs HSBC rating history



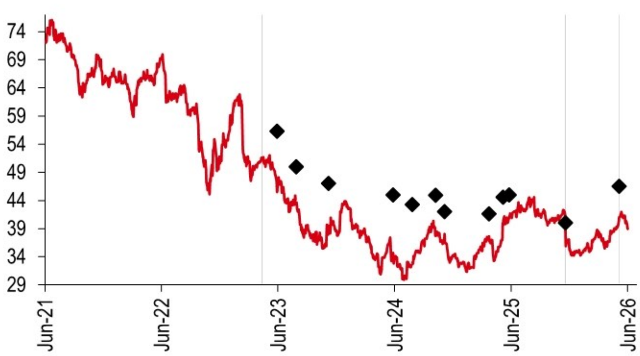
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	27 Dec 2022	Raymond Liu, CFA
Buy	Hold	22 Feb 2024	Raymond Liu, CFA
Hold	Buy	09 Oct 2024	Raymond Liu, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	31.50	27 Dec 2022	Raymond Liu, CFA
Price 2	28.80	30 Jul 2023	Raymond Liu, CFA
Price 3	23.30	10 Aug 2023	Raymond Liu, CFA
Price 4	17.80	10 Jan 2024	Raymond Liu, CFA
Price 5	13.70	22 Feb 2024	Raymond Liu, CFA
Price 6	11.00	28 Jul 2024	Raymond Liu, CFA
Price 7	11.80	23 Aug 2024	Raymond Liu, CFA
Price 8	18.40	09 Oct 2024	Raymond Liu, CFA
Price 9	18.60	02 Jul 2025	Raymond Liu, CFA
Price 10	23.00	09 Dec 2025	Raymond Liu, CFA

Source: HSBC

Link REIT (0823.HK) share price performance HKD Vs HSBC rating history



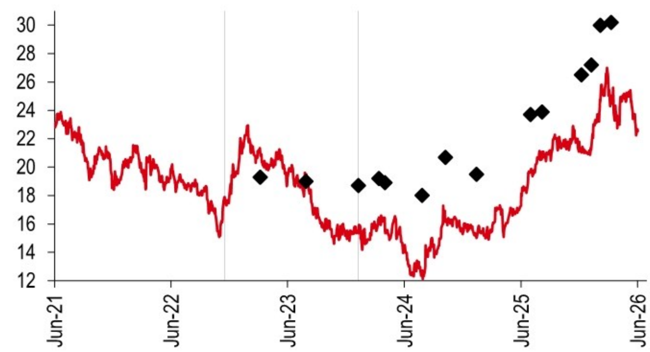
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Restricted	Buy	14 Apr 2023	Raymond Liu, CFA
Buy	Hold	20 Nov 2025	Raymond Liu, CFA
Hold	Buy	07 May 2026	Raymond Liu, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	56.30	31 May 2023	Raymond Liu, CFA
Price 2	50.00	30 Jul 2023	Raymond Liu, CFA
Price 3	47.00	08 Nov 2023	Raymond Liu, CFA
Price 4	45.00	29 May 2024	Raymond Liu, CFA
Price 5	43.30	28 Jul 2024	Raymond Liu, CFA
Price 6	44.90	09 Oct 2024	Raymond Liu, CFA
Price 7	42.00	06 Nov 2024	Raymond Liu, CFA
Price 8	41.60	25 Mar 2025	Raymond Liu, CFA
Price 9	44.60	08 May 2025	Raymond Liu, CFA
Price 10	45.00	27 May 2025	Raymond Liu, CFA
Price 11	40.00	20 Nov 2025	Raymond Liu, CFA
Price 12	46.50	07 May 2026	Raymond Liu, CFA

Source: HSBC

Swire Properties (1972.HK) share price performance HKD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Hold	17 Nov 2022	Raymond Liu, CFA
Hold	Buy	10 Jan 2024	Raymond Liu, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	19.30	09 Mar 2023	Raymond Liu, CFA
Price 2	19.00	30 Jul 2023	Raymond Liu, CFA
Price 3	18.70	10 Jan 2024	Raymond Liu, CFA
Price 4	19.20	14 Mar 2024	Raymond Liu, CFA
Price 5	18.90	02 Apr 2024	Raymond Liu, CFA
Price 6	18.00	28 Jul 2024	Raymond Liu, CFA
Price 7	20.70	09 Oct 2024	Raymond Liu, CFA
Price 8	19.50	14 Jan 2025	Raymond Liu, CFA
Price 9	23.70	02 Jul 2025	Raymond Liu, CFA
Price 10	23.90	07 Aug 2025	Raymond Liu, CFA
Price 11	26.50	09 Dec 2025	Raymond Liu, CFA
Price 12	27.20	09 Jan 2026	Raymond Liu, CFA
Price 13	30.00	06 Feb 2026	Raymond Liu, CFA
Price 14	30.20	12 Mar 2026	Raymond Liu, CFA

Source: HSBC

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Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
HYSAN DEVELOPMENT	0014.HK	18.00	03 Jun 2026	4, 7
LINK REIT	0823.HK	38.96	03 Jun 2026	4, 6, 7, 11
SWIRE PROPERTIES	1972.HK	22.54	03 Jun 2026	6, 7

Source: HSBC

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